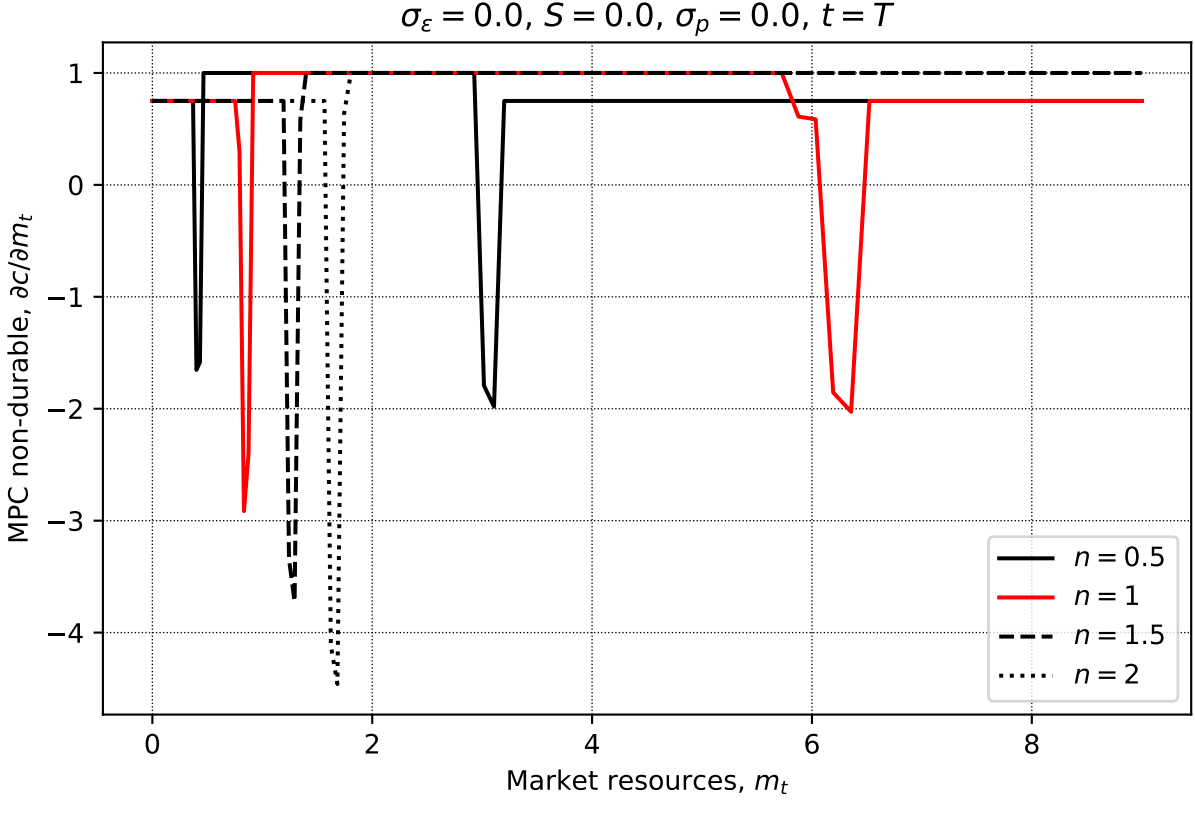
$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$, $t = T$
MPC non-durable, $\partial c/\partial m_t$
Market resources, m_t
1
0
−1
−2
−3
−4
0
2
4
6
8
$n = 0.5$
$n = 1$
$n = 1.5$
$n = 2$